

Answer Key — Exchange Concepts Knowledge Check, Variant 06

Correct statements are listed per question. Scoring: +1 per correct selection, -2 per incorrect selection, 0 for unselected, floor of 0 overall.

#	Correct	#	Correct
1	A, B, D	16	A, B, C, E
2	A, B, D	17	A, B, C, E
3	A, B, C, E	18	A, B, D, E
4	A, B, D, E	19	A, C, D
5	A, B, C, E	20	A, B, C, D
6	A, C, D	21	A, C, D, E
7	A, B, C, D	22	A, B, D, E
8	A, B, C, D	23	A, B, C, E
9	A, B, C, D	24	A, B, C, E
10	A, B, C, E	25	A, B, C, D
11	A, B, C, E	26	A, B, C, E
12	A, B, C, E	27	A, B, C, E
13	A, C, D, E	28	A, C, D
14	A, B, C, D	29	A, C, D
15	B, C, D, E	30	A, B, D, E

Notes on selected answers

- **Q1(C, E):** FX largely trades on electronic networks rather than centralised exchanges, contrary to C. An option grants a *right*, not an obligation, to buy or sell — the obligation sits with the writer, not the holder, so E is false.
- **Q5(D):** CME's actual split is the reverse of what D claims — pro-rata for SOFR/Treasury futures, FIFO for equity index futures.
- **Q6(B, E):** A raw midpoint tick count of 9999.5 is exactly the "not a valid tick multiple" case the rounding discussion exists to solve. Rule 612 is a regulatory floor that applies regardless of counterparty agreement — no consent exception exists.
- **Q15(A):** Initial margin is deposited when a position is *opened*, estimating potential loss; a margin call is what's triggered by a *maintenance margin* breach. The statement conflates the two, so A is false.

- **Q17(D):** Coordinated, consistent rulings across venues are explicitly required for multi-venue erroneous-price events — "independent, uncoordinated" is the opposite of the documented practice.
- **Q22(C):** Implementation Shortfall algorithms trade *faster* (increase urgency), not slower, as price moves away from the arrival price — the goal is to avoid further shortfall.
- **Q25(E):** Individual equity options are physically settled as the standard; broad index options (SPX) are cash-settled as the standard — this statement reverses the pairing.